

Court No. - 46

Case :- WRIT - C No. - 17304 of 2020

Petitioner :- Nitin Kumar Tyagi

Respondent :- State Of U P And 6 Others

Counsel for Petitioner :- Bidhan Chandra Rai, Gyan Prakash Shrivastava

Counsel for Respondent :- C.S.C., Ajay Singh, Pranjal Mehrotra

Hon'ble Naheed Ara Moonis, J.

Hon'ble Vivek Varma, J.

This writ petition has been filed, inter alia, for the following reliefs:

"i. issue a writ of certiorari to quash the demand notice dated 22-01-2020 (Annexure No. 6) and recovery certificate dated 01-07-2020 (Annexure No. 7) issued by the Prescribed Authority, Respondent No. 6 herein together with recovery citation dated 17-07-2020 (Annexure No. 8) issued by the Tehsildar, Respondent No. 3 herein;

ii. issue a writ, order or direction in the nature of writ of mandamus directing the respondents not to coerce the Petitioner for discharge of the liabilities of the Company in any manner including the arrest of the Petitioner;

iii. issue an appropriate writ, order or direction to declare the Clause 4.3 (f)(v) of the Uttar Pradesh Electricity Supply Code, 2005 framed by the Uttar Pradesh Electricity Regulatory Commission, Respondent No. 4 herein ultra vires the provisions of the Electricity Act, 2003;

iv. issue a writ, order or direction in the nature of writ of mandamus directing the Respondents concerned to return the amount of Rs.5 lacs together with interest;"

Heard Sri Bidhan Chandra Rai, learned counsel for the petitioner, and Sri Pawan Kumar Mishra, learned Advocate holding brief of Sri Pranjal Mehrotra, learned counsel appearing on behalf of the Electricity Department-respondent nos. 5 and 6 and perused the record.

The contention of learned counsel for the petitioner is that the recovery citation has been issued both in the name of respondent no. 7, which is a private limited Company and the petitioner, who is a Director of the Company. He further submitted that the issue in these proceedings is as to whether the recovery of electricity dues is authorised as against a person

who is not the consumer but a Director of a body corporate who is the consumer. It has been further submitted that similar controversy in the case of Izharul Hauque Versus State of U.P. and 6 Others, is pending consideration in Writ-C No. 8370 of 2016 before this Court. For ready reference, the order dated 24.02.2016 passed by this Court in Writ-C No. 8370 of 2016 is quoted herein below:

"A recovery citation has been issued on 1 January 2016 by the Tehsildar, Khatauli, District Muzaffarnagar for the recovery of an amount of Rs.2,12,40,204/- towards electricity dues. The recovery citation has been issued both in the name of the seventh respondent which is a private limited Company and the petitioner who is a Director of the Company. The issue in these proceedings is as to whether the recovery of electricity dues is authorized as against a person who is not the consumer but a Director of a body corporate which is the consumer.

Prima facie, it is evident from the agreement for the supply of electrical energy which is Annexure-2 to the writ petition that the consumer is the seventh respondent.

Clause 4.3 (f) (v) of the Electricity Supply Code 2005 provides for recovery proceedings against the defaulting consumer, and where the defaulting consumer is a Company, that recovery from the Directors of the Company, shall be ensured. The validity of this provision is sought to be challenged in these proceedings, as ultra vires the Electricity Act, 2003.

The basis of the challenge is that the expression 'consumer' is defined in Section 2 (15) of the Electricity Act, 2003. The submission is that where a body corporate is a consumer, recovery cannot be enforced against its Directors. Hence, it has been submitted that the subordinate legislation is ultra vires.

The issue requires consideration.

Hence, we direct that notice shall issue both to the Advocate General and to the fourth respondent. The fourth respondent has appeared through counsel.

Counter affidavit, if any, be filed within a period of four weeks from today.

In the meantime, we direct that the recovery citation shall not be enforced against the petitioner. However, this shall not restrain the enforcement of the amount due in accordance with law against the seventh respondent.

List on 28 March 2016."

Sri Rai has also placed reliance on a judgment of a Division Bench of this Court in Writ-C No. 39617 of 2017 (Alok Kumar Mittal and another v. State of U.P. And others, dated

08.11.2017.

In view of the aforesaid and since the similar controversy is under consideration, we direct the learned counsel for the respondent nos. 1 to 6 to file counter affidavit within four weeks.

Issue notice to respondent no. 7 to file counter affidavit within the same period.

List the matter along with Writ-C No. 41064 of 2019, Navjot Singh v. State of U.P. And others, on 07.12.2020 in the additional cause list.

In the meantime, we direct that the recovery citation shall not be enforced against the petitioner. However, this shall not restrain the enforcement of the amount due in accordance with law against the respondent no. 7.

Order Date :- 22.10.2020

SKT/-